

PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT

Matter 17-CV-4821 — Assessment of Settlement Exposure and Recommendation

Statement of Facts

The parties entered into the purchase agreement on the date recited in the recitals, following a diligence period of eleven weeks. No conclusion here should be read as advice to the client directly. Supporting calculations are retained in the working file.

The escrow account was funded at closing in the amount set out in schedule 2.1 and remains undisbursed. No conclusion here should be read as advice to the client directly. This analysis assumes the current record and no further amendment.

The former controller testified that the write-down was recorded in the quarter following the closing, contrary to the representation in section 4.9. This analysis assumes the current record and no further amendment. No conclusion here should be read as advice to the client directly.

Counsel for the plaintiff has produced the audit workpapers under the protective order entered in March. Supporting calculations are retained in the working file. This analysis assumes the current record and no further amendment.

Procedural History

The complaint was filed and served without incident, and the answer asserted eleven affirmative defences. The trial team should treat every figure as provisional. No conclusion here should be read as advice to the client directly.

The court denied the motion to dismiss Count III while granting it as to Counts V and VI. The relevant correspondence is filed under the matter reference. This analysis assumes the current record and no further amendment.

Discovery has proceeded on the schedule set at the initial conference, with two extensions granted on consent. The trial team should treat every figure as provisional. Supporting calculations are retained in the working file.

Expert reports are due within sixty days and depositions of the retained experts are not yet scheduled. Supporting calculations are retained in the working file. No

conclusion here should be read as advice to the client directly.

Exposure Analysis

Aggregate liability under Count III is currently estimated between fourteen and nineteen million dollars. No conclusion here should be read as advice to the client directly. This analysis assumes the current record and no further amendment.

The retained-earnings adjustment accounts for the majority of that range and is sensitive to the valuation date adopted. Supporting calculations are retained in the working file. The trial team should treat every figure as provisional.

We assess the probability of an adverse verdict at sixty-five percent on the present record. Supporting calculations are retained in the working file. The trial team should treat every figure as provisional.

A mediated resolution at eleven million dollars structured across three annual instalments would fall below the expected value of trial. The trial team should treat every figure as provisional. Supporting calculations are retained in the working file.

Privilege and Waiver

Eleven documents in the second production tranche have been withheld as attorney work product prepared in anticipation of litigation. This analysis assumes the current record and no further amendment. Supporting calculations are retained in the working file.

Opposing counsel has signalled an intention to challenge the designation of four of those documents. Supporting calculations are retained in the working file. The trial team should treat every figure as provisional.

Disclosure of this memorandum to any third party, including any automated drafting or summarisation service, would likely constitute a subject-matter waiver. No conclusion here should be read as advice to the client directly. The relevant correspondence is filed under the matter reference.

The notification obligations in the engagement letter would be triggered by any such disclosure. No conclusion here should be read as advice to the client directly. This analysis assumes the current record and no further amendment.

Indemnification

The carve-out in section 9.4 may be read to shift a portion of the loss to the escrow account. Supporting calculations are retained in the working file. This analysis assumes the current record and no further amendment.

Opposing counsel has not yet advanced that reading and we do not intend to raise it. The relevant correspondence is filed under the matter reference. No conclusion here should be read as advice to the client directly.

If the escrow is reached, the indemnity cap becomes the operative constraint on recovery. The trial team should treat every figure as provisional. Supporting calculations are retained in the working file.

The survival period expires at the end of the current fiscal year absent a timely claim notice. No conclusion here should be read as advice to the client directly. The relevant correspondence is filed under the matter reference.

Recommendation

Counsel recommends authorising mediation before the close of expert discovery. No conclusion here should be read as advice to the client directly. The trial team should treat every figure as provisional.

The reputational consequences of a public trial weigh materially in favour of resolution. The relevant correspondence is filed under the matter reference. Supporting calculations are retained in the working file.

Settlement on the terms described would foreclose the derivative claims currently held in abeyance. This analysis assumes the current record and no further amendment. The relevant correspondence is filed under the matter reference.

Authority to settle within the stated range is requested at the next meeting of the committee. The trial team should treat every figure as provisional. Supporting calculations are retained in the working file.

Statement of Facts (continued, part 2)

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